	Company A (20% earnings growth rate)	Company B (10% earnings growth rate)
Base Year	$1.00	$1.00
1	$1.20	$1.10
2	$1.44	$1.21
3	$1.73	$1.33
4	$2.07	$1.46
5	$2.49	$1.61
7	$3.58	$1.95
10	$6.19	$2.59

You can see what a radically different place you end up at with the fast grower after 5, 7 and 10 years. If both stocks retain their P/E, company A will end up at $123.80 and will hand you a 5-bagger. Company B will sell for $25.90 and give you a double. Even if the 20-P/E stock fell to 10 P/E, you'd wind up with a lot more money still — a triple.

As Phelps reminds us, "good stocks are seldom without friends." Hence, they are rarely cheap in the usual sense. Don't let a seemingly high initial multiple scare you away from a great stock.

Summary

There is no end to this kind of analysis. We could create a case study for each of the 365 100-baggers. That would make tough reading. So, I won't spend too much time on case studies.

We've done enough with a range of 100-baggers. And we have a basic template emerging, which I'll return to at the end of the book.

Again, I'd like to emphasize that I don't take the statistical approach very seriously here. I am tempted to give more numbers on what a typical 100-bagger looked like. But that would be like giving you the average price of real estate in Columbus, OH. The latter doesn't tell you much because there is residential property, commercial property, industrial property, and so forth. The population is too diverse. The number doesn't mean anything. It's the same with 100-baggers.

For the next few chapters, though, I'd like to explore further the qualities you'll want to look for in these big winners.